M&A Transaction Analysis

Verizon's Acquisition of Vodafone's Stake in Verizon Wireless

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1. Introduction & Research Question

Verizon Communications completed an acquisition in 2014 to buy a 45% minority stake in its subsidiary, Verizon Wireless, owned by Vodafone. The deal was completed for ~$130 billion. Before the deal, Verizon Wireless was a joint venture between Verizon and Vodafone. This gave Verizon full control over cash flows associated with its main business.

The deal also posed some questions regarding its efficiency as a capital allocation decision. The deal required a large amount of capital to finance it. The deal was financed by a large amount of debt as well as a large issue of equity. This meant that there was a significant amount of earnings per share dilution. Therefore, based on the large amount of capital used to finance the deal, it is not clear if the deal was an efficient capital allocation decision for Verizon.

Therefore, the research question of interest for this report is:

Did Verizon's acquisition of Vodafone's 45% stake in Verizon Wireless represent an efficient capital allocation decision given the financing structure, alternative investment opportunities, and subsequent shareholder returns?

This report employs 3 methods and alternative investment evaluation to determine if the acquisition constituted an efficient capital allocation decision that maximized shareholder value in the long term or if the same capital could have been allocated more efficiently through alternative means of investment. The first method will be the discounted cash flow (DCF) analysis in the counterfactual scenario where the acquisition does not take place, and the value of Verizon can be estimated through the discounted cash flow. Second is earnings per share (EPS) accretion and dilution analysis that will determine the impact of the acquisition in the short term on the earnings of the investors in the entity. Lastly, the third analysis is return on invested capital (ROIC) relative to the weighted average cost of capital (WACC) analysis, which will determine if the acquisition constituted an economic profit for the investors in the entity.

To assess if the acquisition represents an efficient capital allocation decision, this report will evaluate the findings of the methodologies in the subsequent sections.

2. Background & Transaction Description

2.1 Verizon Communications

Verizon Communications Inc. is one of the largest telecommunications companies in the United States and a massive player in the global industry. Verizon operates across several segments, including consumer wireless services, wireline broadband and fibre networks, and enterprise telecommunications infrastructure.

Among these operations, Verizon Wireless has historically been the company's most valuable business unit. Verizon Wireless was formed in 2000 as a joint venture between Verizon Communications and Vodafone Group, combining Verizon's domestic telecommunications infrastructure with Vodafone's global wireless expertise. Over time, the wireless segment emerged as the dominant driver of Verizon's financial performance, benefiting from the rapid growth of mobile communications, smartphone adoption, and mobile data consumption.

2.2 Vodafone Group

Vodafone Group PLC is a multinational telecommunications company that has expanded rapidly through acquisitions and international growth, eventually becoming one of the largest mobile telecommunications operators in the world.

Vodafone entered the Verizon Wireless partnership through its acquisition of AirTouch Communications in 1999. The joint venture structure resulted in Verizon holding a 55% controlling stake in Verizon Wireless, while Vodafone held the remaining 45%. Large profit distribution to Vodafone shareholders and coordination risks for strategic decisions potentially constrain Verizon's ability to control capital allocation and long-term investment decisions fully.

Acquiring Vodafone's minority stake would therefore allow Verizon to capture 100% of the wireless division's profits, simplify its corporate structure, and gain full strategic control over its most important money printing asset, leading to the decision to acquire Vodafone's stake in Verizon Wireless in 2013.

2.3 Transaction Description

In September 2013, Verizon announced that it would acquire Vodafone's 45% ownership stake in Verizon Wireless in a transaction valued at approximately $130 billion. This deal was financed through new debt issuance, equity issuance, and cash payments, making a significant impact on Verizon's balance sheet.

Verizon issued approximately $49 billion in debt, consisting of various long-term bonds. The bond issuance was completed during a period of historically low interest rates, allowing Verizon to secure low borrowing costs. This substantially increased leverage ratio in the short term; however, as most of the debt was issued at lower interest rates, the cost of debt still remained manageable, even reducing the weighted average cost of capital (WACC).

Verizon also issued approximately $60 billion worth of equity, which changed the number of outstanding shares. As part of the deal, Verizon issued roughly 1.274 billion new shares, which were transferred to Vodafone as part of the purchase price, leading to an approximately 44% dilution of existing shareholders' ownership stakes.

After the transaction, Verizon fundamentally transformed its company's economic exposure to its wireless business as a whole, which grants it the majority of its earnings and long-term growth potential.

3. Qualitative Analysis

3.1 Ownership Consolidation of a Core Strategic Asset

As mentioned previously, the strategic motivation behind Verizon's acquisition was mainly ownership consolidation, considering the wireless business of Verizon was the fastest-growing and the biggest cash cow. Before the acquisition, Verizon only had 55% of its earnings going to them, which hindered their ROI to shareholders. Acquiring their stake allows them to receive full ownership of the long-term cash flow stream generated by the business. Because wireless telecommunications infrastructure generates highly stable and sticky recurring cash flows, the difference between owning 55% of the asset and owning

100% of it represents a substantial increase in the long-term economic value attributable to Verizon shareholders.

If the capital had been allocated to other sources, this merger would have been more traditional. However, this deal allowed Verizon to invest in itself without creating a significant change in the share price or management. Thus, the deal structure was a more efficient way to reinvest capital without purchasing shares for treasury purposes, as that would have come with potential slippage. All share buybacks experience risk on random movement as well as implied movement in the share price. In regards to this transaction structure, there was no slippage, leading to a higher investment overall.

3.2 Elimination of Structural Ownership Friction

Joint ventures often introduce structural friction in corporate decision-making, particularly when the strategic priorities of the partners differ. The Verizon-Vodafone partnership had been effective for many years, but the presence of a large minority shareholder created governance and capital allocation constraints.

A key source of friction is strategic investment decisions, especially in a high capex industry such as telecommunications, requiring almost constant infrastructure upgrades, amongst other investments, to continuously increase coverage and remain competitive.

As a result, decisions regarding spectrum purchases, infrastructure investments, and system upgrades often come with delays and conflict because of the significant capital commitments required for every project. With a joint venture structure, key decisions would require negotiations due to a difference in strategic priorities between partners, regardless of Verizon having full operational control.

Through the acquisition, Verizon eliminated the joint venture structure and created a much more streamlined and efficient decision-making process. This allowed Verizon to make independent investment decisions and pursue long-term infrastructure development without delays and unnecessary friction.

3.3 Strategic Control Over Infrastructure Investment

Gaining full control of Verizon Wireless allowed Verizon to make stronger long-term investments within infrastructure, considering their free cash flows after a normalization period, simply because they now control 100% of it, leading to debts that are even easier to service. During the early 2010s, the industry was undergoing a major transition toward 4G LTE networks, which allowed for significantly faster mobile data speeds and supported the rapid growth of smartphone usage. Wireless carriers that invested aggressively in network infrastructure were able to capture larger shares of high-value mobile data subscribers, under the assumption that the data space would be an even larger profit driver in the years to come. By gaining full ownership of Verizon Wireless, Verizon ensured that all profits generated by the network could be reinvested directly into infrastructure expansion and technological upgrades. This merger created financial flexibility for Verizon, allowing the company to be nimble, therefore giving it the advantage of faster advancement in the field while still maintaining its reputation for network reliability and continued investing in next-generation wireless technologies. Because wireless infrastructure investments often have payback periods exceeding a decade, capturing the full long-term returns from these investments becomes particularly important. Verizon shareholders are able to benefit from the entire economic return that comes from long-term infrastructure investments due to Verizon's full ownership.

3.4 Ownership Clarity and Market Valuation

Another positive of the acquisition was the improved transparency and market valuation clarity. Before the transaction, Verizon's financial statements were a consolidation of Verizon Wireless, including the minority stake and its stake, leading to ambiguity regarding its actual economic value from shareholders. This may lead to certain investors being unwilling to allocate a larger portion of their portfolio to Verizon due to the presence of such a large minority stake. Equity analysts often describe this as a structural valuation discount leading to lower multiples and overall discounted asset value that is unjust to the true value of Verizon.

The increased ownership transparency led to greater investor confidence and made it easier for analysts to forecast Verizon's long-term earning potential. There are many instances in which a higher degree of financial transparency leads to valuation and multiple expansion because investors become more comfortable with attributing future cash flows to shareholders.

4. Quantitative Analysis

Model Framework and Analytical Overview

In order to evaluate if the acquisition represented an optimally efficient capital allocation decision, this paper utilized a multi-model quantitative framework.

Three primary quantitative models were used in this analysis:

1. Counterfactual Capital Allocation Analysis
2. EPS Accretion/Dilution Analysis
3. ROIC vs WACC Value Creation Analysis

The counterfactual discounted cash flow (DCF) model estimates the equity value considering if Verizon had not acquired, and instead continued the previous ownership structure. This model establishes a baseline scenario to estimate the incremental value created by the acquisition, while remaining conservative yet optimistic considering the catalyst of 4G LTE into the market.

The EPS accretion/dilution model evaluates the impact on Verizon's earnings per share in the years immediately following the deal after a normalization period. Accretion/dilution analysis is therefore used to determine whether the deal improved or reduced per-share earnings in the near term and to assess how quickly the transaction could become accretive as the financial benefits of full ownership materialize.

Finally, the ROIC va WACC analysis simply compares the return on Verizon's invested capital in excess of its weighted average cost of capital. If the return does show to be in excess of the cost of capital, then that signifies a value-creating venture and economic profit generation. This is a good evaluation test to determine if the returns are above the firm's cost, but there still needs to be an analysis on whether the firm beats its opportunity cost as well.

4.1 Counterfactual Capital Allocation Analysis (DCF)

Given our findings in Appendix 9, it can be seen that Verizon did, in fact, generate substantial economic profit for its shareholders even in the absence of the acquisition. The projected share price increased from $43.27 to $63.90, showing an approximately 47.7% increase in equity value when considering the continuation as a normal scenario. This is primarily driven by the ongoing profitability from Verizon's Wireless division, as they have stable and sticky cash flow generation from operations.

This counterfactual model pales in comparison to the realized market return, in which there is a divergence of approximately 23%, for a total of over 70% return over the relevant period. This does keep in consideration any market exuberance, considering the market price to date is still above $50 per share when adjusted for any share float adjustments. This suggests that the transaction did create value beyond what Verizon could have achieved with organic growth alone, while still having the minority interest stake present.

While the case that this could be an excessive market move can be made, the result of this stays constant, even continuing the years forward till date (2026 March 13th, Friday), as the share price remains above the counterfactual implied share price after adjustments. Even considering the fact that there was no premium incurred in this transaction, it still remains to be seen that there was a potential of a maximum 23% premium possible, given the excess return the purchase had in comparison to the calculated counterfactual values.

The most important driver of this incremental value appears to be the consolidation of Verizon's ownership stake in Verizon Wireless. The previous joint venture structure left Verizon shareholders with only 55% of the company, leading to this investment being an effective increase in economic ownership by 45%, nearly like adding low-risk leverage to the company.

4.2 EPS Accretion and Dilution Analysis

The counterfactual DCF model highlights the impact of the acquisition on long-term valuation. The EPS model focuses on the short-term financial impact by analyzing the earnings per share metric and determining whether there is a dilutive or accretive effect. The scale of both the new debt and new share issuance is what makes the EPS model highly effective in analyzing and interpreting the short-term financial impact of this transaction.

The main assumptions used in the EPS model are:

- Baseline net income growth of 4%
- $500 million in annual pre-tax synergies
- $49 billion in new debt financing
- 1.274 billion new shares issued

Under these assumptions, the model produced the following results:

Year	EPS Impact
Year 1	-15.0% dilution
Year 2	-7.0% dilution
Year 3	-6.2% dilution

The EPS model (Appendix 1) has a base of 4% net income growth and $500 million in pre-tax annual synergies. The pro forma share count goes from 2.868b to 4.142b post-deal, reflecting the 1.274b shares issued to Vodafone.

Pro forma net income shows considerable growth, going from $11.497b in year 1 to $14.114b in year 5. This growth is primarily driven by incremental earnings from 100% ownership of Verizon Wireless (+$6.303b) and offset by post-tax interest payments on the new $49b debt issuance (~$2.070b per year). Depreciation and amortization upon purchase increased ~$800m/year, along with a one-time transaction/integration cost of $1.2b in year 1. Even with a significant increase in net income, EPS falls from $4.01 to $3.41 in year 1 as the increase in earnings is outweighed by the increase in share count.

In year 3, dilution falls to -$0.27 per share as the effect of one-time costs rolls off and synergies provide a growing offset to the fixed financing drag. The pro forma net income in year 3 ($16.843b) is a 47% increase over the standalone baseline, proving that the deal is a net income accretive transaction.

Sensitivity Analysis

The sensitivity tables (Appendix 4 and 5) compare a range of pre-tax synergies ($0 to $2b) against various net income growth rates (2% to 7%). At the base case (net income growth = 4%), the dilution at year 3 is -6.2%, and the deal becomes accretive at ~$2b synergies across all scenarios. Even when synergies are 0, and the growth rate is as low as 2%, the dilution at year 3 remains low, below -10% (-9.4%).

The contradiction between increasing net income and declining EPS highlights an important distinction between accounting factors and underlying economic value creation. Although the acquisition initially reduced EPS due to share dilution and financing costs, the profitability of the combined firm improved significantly as Verizon captured the complete economic benefits of the wireless business.

This move suggests that Verizon's management team focused on long-term value creation over short-term EPS optimization, instead of seeking to create immediate accretion. Verizon accepted temporary dilution to secure full ownership of a high-quality cash flow asset.

4.3 ROIC versus WACC Value Creation Analysis

The ROIC versus WACC analysis answers the question: Did the acquisition generate economic value for Verizon shareholders? The framework evaluates if the returns generated by Verizon's invested capital exceeded the company's cost of capital.

The model produces the following key results:

Year	ROIC	WACC	Spread
2013	11.4%	4.0%	+7.4%
2014	10.8%	3.2%	+7.6%
2015	17.0%	3.1%	+13.9%

The ROIC and WACC Model (Appendix 2 and 3) covers the time period from 2011 to 2018. This range includes a few years pre-deal, the closing year, and 4 years post-deal. The central conclusion is that Verizon consistently created significant value throughout the entire time period, earning a net positive return on invested capital in each of the 8 years.

At closing, WACC fell from 4% in 2013 to 3.2% in 2014 despite a sharp increase in leverage. This result is a reflection of the following factors: new long-term bonds being issued at blended coupons significantly below the cost of equity, a large increase in debt weighting, from 78.8% to 89.8% of total capital, and a very slight increase in beta (from 0.48 to 0.50), which kept the cost of equity relatively stable. This transaction demonstrates a well-timed capital structure decision made during a time period where interest rates were historically low.

ROIC went from ~11.4% in 2013 to ~10.8% in 2014 due to the increase in goodwill and intangibles (~$70b) from the Vodafone purchase price allocation, which also inflated the invested capital denominator. It is very important to note, however, that the ROIC-WACC spread was positive at 7.6%, meaning that Verizon was creating value from the very first year of the deal. The economic profit in 2014 was $9b, increasing to $17.4b in 2015 when full wireless earnings flowed through. The spread at this time widened to +13.9%. In 2018, the Tax Cuts and Jobs Act reduced Verizon's effective tax rate to ~22%, and economic profit reached $18.2b.

4.4 Financing Structure and Capital Allocation Efficiency

The financing structure of the acquisition played a major role in its economic success, as it was done with a mix of equity and lower-cost debt, given the decreasing interest rate period. This allowed for a large acquisition without overly increasing the cost of capital.

- Debt weighting increased significantly.
- The cost of debt remained relatively low due to favourable credit market conditions.

- The cost of equity remained stable.

These factors, taken together, led to a decline in Verizon's weighted average cost of capital (WACC) and, therefore, its required rate of return on new investments was reduced. The financing structure used in this deal allowed Verizon to make use of inexpensive debt to gain a high-quality asset with consistently high cash flows. It creates a very favourable spread across investment returns and financing costs as the returns generated from it greatly exceeded the cost of debt financing.

5. Capital Allocation Comparison

Evaluating whether the acquisition represented an efficient capital allocation decision requires comparing the transaction with the alternative ways in which Verizon Communications could have deployed a similar amount of capital.

At the time the transaction occurred, Verizon had many other options. For example, they could have pursued debt reduction, share repurchases, or more organic development projects. However, none of these alternatives would have produced the same economic profit and a similar increase in shareholder value.

One alternative would have been to allocate capital toward share repurchases. Buybacks can increase earnings per share (EPS) by reducing outstanding shares and are used to return excess cash to shareholders. Verizon could have used share repurchases to partially offset the dilution created by the issuance of 1.274 billion shares used to finance the transaction. However, share buybacks primarily affect financial optics rather than the underlying economics of the business. As seen in Appendix 7, the buybacks are accretive. When put in comparison to the actualized returns seen in Appendix 6, it can be seen that the share repurchases would not have given a similar return as the acquisition did. Repurchases do not increase operating income or expand a firm's long-term cash flow base. In contrast, acquiring Vodafone's stake permanently increased Verizon's claim on the cash flows generated by Verizon Wireless. Before the transaction, Verizon captured only 55% of these earnings; following the acquisition, it captured 100%. As a result, the acquisition directly increased the long-term cash flows available to Verizon shareholders in a way that share repurchases could not replicate.

Another alternative strategy would be to use the capital to cut debt. Having lowered leverage improves financial stability and reduces interest expense, both of which have the potential to increase shareholder value. At the time of the transaction, this option was less attractive simply because interest rates were historically low, and debt financing was a much smarter move. This can be seen in appendices 7 and 8, where the accretive function of paydowns is less than that of buybacks.

Verizon could also have pursued expanding infrastructure and other positive NPV projects. Investments like these are important for long-term competitiveness; the timing of Verizon's choosing to go for an acquisition over this option is key. By acquiring the 45% minority stake, Verizon was able to ensure that all future growth from traditional investments would go entirely to its shareholders.

Considering the aforementioned points, it is determined that the acquisition of Vodafone's minority stake did in fact represent the most efficient capital allocation for Verizon. There was a short-term dilutive effect for Verizon's EPS due to the financing structure; however, it bears much more fruit in the future, allowing Verizon to make a complete claim over the cash flow generated by its largest asset. In comparison to buybacks, paydowns, or organic capex, the acquisition seemed to be a consolidating effect for all of these benefits, acting as somewhat of a low-risk leverage to their primary business model. As mentioned previously, this granted them full access to their strong financials, leading to this transaction being an efficient allocation to strengthen Verizon's long-term value creation potential.

6. Conclusion

Through thorough quantitative and qualitative analysis, we can conclude that Verizon's acquisition of the 45% minority stake owned by Vodafone was a capital allocation decision that was well timed, strategically sound, generated significant economic profit, and increased shareholder value. This is proven through the use of an EPS Accretion/Dilution Model, a Counterfactual DCF Model, and a ROIC/WACC Analysis. The results show that the acquisition was a good capital allocation decision, enhancing Verizon's long-term value creation, even if it involved a minor trade-off in terms of financial performance.

First, the results of the counterfactual discounted cash flow model show that Verizon would have created value even if it had not made the acquisition, but the value created after the acquisition was much greater. The results show that Verizon would have grown by about 48% if it had not made the acquisition, but the actual results show 70% growth rate, implying that the acquisition of Vodafone's stake gave Verizon a greater claim to the cash flows generated by the most valuable asset of the company.

Although EPS analysis shows a short-term earnings-per-share dilution resulting from the large amount of equity issuance and debt financing, the effect was only temporary. The decline in the company's EPS was largely a mechanical effect rather than a deterioration of the underlying business performance. The effect of the dilution was reduced as the company started to benefit fully from the earnings of Verizon Wireless.

Moreover, the ROIC vs. WACC test gives the most compelling evidence of the value created by the transaction. The fact that the company was able to achieve returns on investment exceeding the cost of capital in the years after the transaction is an indication that the acquisition was successful.

Finally, the acquisition appears to be the best option compared to other capital allocation opportunities such as share repurchases, debt retirement, or additional investments. The other alternatives would have helped the company to improve its financial performance on a short-term basis, but would have failed to enable the company to capture the economic profit generated by Verizon Wireless.

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Appendix

Appendix 1: EPS Accretion / Dilution Model — Main Output

VERIZON / VODAFONE – EPS ACCRETION / DILUTION ANALYSIS (v4)

NI growth = 4.0% / Tax Rate = 23.19% / $mm unless noted

Description	Year 1 (FY2014E)	Year 2 (FY2015E)	Year 3 (FY2016E)
1. PRO FORMA SHARE COUNT			
Standalone Diluted Shares (mm)	2,868.0	2,868.0	2,868.0
(+) New Shares Issued to Vodafone (mm)	1,274.0	1,274.0	1,274.0
Pro Forma Diluted Shares (mm)	4,142.0	4,142.0	4,142.0
2. STANDALONE EPS (55% VZW OWNERSHIP)			
Standalone Net Income ($mm)	$11,497	$11,957	$12,435
Standalone Diluted Shares (mm)	2,868.0	2,868.0	2,868.0
STANDALONE EPS (Diluted)	$4.01	$4.17	$4.34
3. PRO FORMA NET INCOME BRIDGE ($MM)			
Standalone Net Income ($mm)	$11,497	$11,957	$12,435
(+) Incr. NI from 100% VZW Ownership	$6,303	$6,555	$6,817
(-) After-tax Interest on New Debt	($2,070)	($2,070)	($2,070)
(+) After-tax Synergies	$384	$422	$461
(-) D&A on Purchase Price Step-Up	($800)	($800)	($800)
(-) Transaction / Integration Costs	($1,200)	-	-
PRO FORMA NET INCOME ($mm)	$14,114	$16,064	$16,843
4. PRO FORMA EPS & ACCRETION / (DILUTION)			
Pro Forma Net Income ($mm)	$14,114	$16,064	$16,843
Pro Forma Diluted Shares (mm)	4,142.0	4,142.0	4,142.0
PRO FORMA EPS (Diluted)	$3.41	$3.88	$4.07
Standalone EPS	$4.01	$4.17	$4.34
Pro Forma EPS	$3.41	$3.88	$4.07
$ Accretion / (Dilution)	($0.60)	($0.29)	($0.27)
% Accretion / (Dilution)	(15.0%)	(7.0%)	(6.2%)

VERIZON / VODAFONE – YEAR 3 EPS SENSITIVITY ANALYSIS

Vary Pre-Tax Synergies ($mm) vs. NI Growth Rate / Base: Synergies=$500mm, Growth=4.0%

TABLE 1 – PRO FORMA EPS (YEAR 3)

Synergies ($mm) ↓ / Growth →	2.00%	3.00%	4.0% (Base)	####	6.00%	7.00%
-	$3.78	$3.87	$3.96	$4.05	$4.14	$4.23
$250	$3.83	$3.92	$4.01	$4.10	$4.19	$4.28
$500	$3.89	$3.98	$4.07	$4.16	$4.25	$4.34
$750	$3.95	$4.03	$4.12	$4.21	$4.30	$4.39
$1,000	$4.00	$4.09	$4.18	$4.27	$4.36	$4.45
$1,500	$4.11	$4.20	$4.29	$4.38	$4.47	$4.56
$2,000	$4.22	$4.31	$4.40	$4.49	$4.58	$4.67

TABLE 2 – % ACCRETION / (DILUTION) (YEAR 3)

Synergies ($mm) ↓ / Growth →	2.00%	3.00%	4.0% (Base)	####	6.00%	7.00%
-	(9.4%)	(9.1%)	(8.8%)	(8.5%)	(8.2%)	(7.9%)
$250	(8.1%)	(7.8%)	(7.5%)	(7.2%)	(6.9%)	(6.7%)
$500	(6.7%)	(6.5%)	(6.2%)	(6.0%)	(5.7%)	(5.5%)
$750	(5.4%)	(5.2%)	(4.9%)	(4.7%)	(4.5%)	(4.3%)
$1,000	(4.1%)	(3.9%)	(3.6%)	(3.4%)	(3.2%)	(3.0%)
$1,500	(1.4%)	(1.2%)	(1.1%)	(0.9%)	(0.8%)	(0.6%)
$2,000	1.3%	1.4%	1.5%	1.6%	1.7%	1.8%

Green = Accretive, Red= Dillutive, Yellow= Breakeven (+/- 2%)

Appendix 2: ROIC vs. WACC Analysis — Pre-Deal Baseline (2011–2013)

Metric	2011	2012	2013
INCOME STATEMENT INPUTS ($mm)			
Revenue	115,846	115,302	120,550
EBIT (Operating Income)	14,688	13,160	16,303
Effective Tax Rate	28.1%	28.7%	29.9%
NOPAT [=EBIT×(1−Tax Rate)]	10,561	9,383	11,428
BALANCE SHEET INPUTS ($mm)			
Total Debt (BV)	52,814	54,059	89,850
Total Equity (BV)	38,569	31,974	24,232
Goodwill & Intangibles	38,416	37,916	37,378
Invested Capital [=Debt+Equity]	91,383	86,033	114,082
Average Invested Capital	91,383	88,708	100,058
WACC COMPONENTS			
Risk-Free Rate (10yr UST)	1.88%	1.76%	2.35%
Equity Risk Premium	5.50%	5.60%	5.40%
Beta (VZ, 5yr monthly)	0.52	0.50	0.48
Cost of Equity [Rf + β×ERP]	4.74%	4.56%	4.94%
Pre-Tax Cost of Debt	5.10%	4.90%	4.70%
After-Tax Cost of Debt [Kd×(1−t)]	3.67%	3.49%	3.29%
Debt Weight [D/(D+E)]	57.79%	62.84%	78.76%
Equity Weight [E/(D+E)]	42.21%	37.16%	21.24%
WACC [Wd×Kd + We×Ke]	**4.12%**	**3.89%**	**3.64%**
ROIC vs. WACC — VALUE SPREAD			
ROIC [NOPAT / Avg Invested Capital]	**11.56%**	**10.58%**	**11.42%**
WACC	4.12%	3.89%	3.64%
Spread (ROIC − WACC)	**7.44%**	**6.69%**	**7.78%**
Verdict	**VALUE CREATING**	**VALUE CREATING**	**VALUE CREATING**
Economic Profit [Spread × Avg IC] ($mm)	**6,796**	**5,932**	**7,782**

Appendix 3: ROIC vs. WACC Analysis — Closing Year & Post-Deal Integration (2014–2018)

2014	2015	2016	2017	2018
127,079	131,620	125,980	126,034	130,863
18,496	33,060	30,496	26,978	30,015
30.5%	36.1%	35.4%	36.7%	21.8%
12,855	21,125	19,700	17,077	23,472
110,536	109,652	108,209	117,068	116,073
12,523	17,842	21,961	24,060	25,268
107,447	108,249	107,219	105,576	104,380
123,059	127,494	130,170	141,128	141,341
118,571	125,277	128,832	135,649	141,235
2.54%	2.21%	2.45%	2.33%	2.91%
5.40%	5.30%	5.20%	5.10%	5.10%
0.50	0.55	0.57	0.58	0.60
5.24%	5.13%	5.41%	5.29%	5.97%
4.30%	4.15%	4.10%	4.08%	4.15%
2.99%	2.65%	2.65%	2.58%	3.25%
89.82%	86.01%	83.13%	82.95%	82.12%
10.18%	13.99%	16.87%	17.05%	17.88%
3.22%	**3.00%**	**3.12%**	**3.04%**	**3.73%**
10.84%	**16.86%**	**15.29%**	**12.59%**	**16.62%**
3.22%	3.00%	3.12%	3.04%	3.73%
7.62%	**13.87%**	**12.18%**	**9.55%**	**12.89%**
VALUE DESTROYING	**VALUE DESTROYING**	**VALUE CREATING**	**VALUE CREATING**	**VALUE CREATING**
9,040	**17,370**	**15,687**	**12,948**	**18,200**

Appendix 4: Year 3 EPS Sensitivity Table — % Accretion / (Dilution)

TABLE 2 – % ACCRETION / (DILUTION) (YEAR 3)						
Synergies ($mm) ↓ / Growth →	2.00%	3.00%	4.0% (Base)	5.00%	6.00%	7.00%
-	(9.4%)	(9.1%)	(8.8%)	(8.5%)	(8.2%)	(7.9%)
$250	(8.1%)	(7.8%)	(7.5%)	(7.2%)	(6.9%)	(6.7%)
$500	(6.7%)	(6.5%)	(6.2%)	(6.0%)	(5.7%)	(5.5%)
$750	(5.4%)	(5.2%)	(4.9%)	(4.7%)	(4.5%)	(4.3%)
$1,000	(4.1%)	(3.9%)	(3.6%)	(3.4%)	(3.2%)	(3.0%)
$1,500	(1.4%)	(1.2%)	(1.1%)	(0.9%)	(0.8%)	(0.6%)
$2,000	1.3%	1.4%	1.5%	1.6%	1.7%	1.8%

Appendix 5: Deal Structure & Capital Structure Impact on WACC

VERIZON / VODAFONE WIRELESS TRANSACTION | Deal Structure & Capital Impact on WACC

Verizon acquired Vodafone's 45% stake in Verizon Wireless | Announced Sep 2, 2013 | Closed Feb 21, 2014 | Total consideration: ~$130.3 Bn

Consideration Component	Amount ($mm)	% of Total	Form	Notes
New external debt issued	59,761	45.5%	Cash	New bond issuances at various maturities (2014–2044) at avg ~4.3% coupon
Verizon common stock issued	61,342	46.7%	Equity	~1.27 Bn new VZ shares issued to Vodafone; ~23% dilution at closing price
Verizon notes to Vodafone	5,000	3.8%	Cash	Short-term promissory notes due within 12 months of close
VAI preferred stock	1,671	1.3%	Equity	Preferred interests in Verizon subsidiary issued to Vodafone
Omnitel interest (asset transfer)	3,500	2.7%	Asset	Verizon's 23.1% interest in Vodafone Omnitel (Italy) transferred to Vodafone
Transaction costs & fees		~0%	Cash	Advisory, legal & financing fees (estimated ~$300mm, not separately disclosed)
TOTAL CONSIDERATION	131,274	100.0%		Per Verizon 8-K / proxy statement filed with SEC, Feb 2014

CAPITAL STRUCTURE IMPACT ON WACC (Pre-Deal 2013 vs. Post-Deal 2014)

Metric	Pre-Deal (FY2013)	Post-Deal (FY2014)	Change	Commentary
Total Debt ($mm)	89,850	110,536	+$20.7 Bn	Net new debt after repayment of Verizon notes; new bonds issued
Total Equity ($mm)	24,232	12,523	−$11.7 Bn	Goodwill step-up absorbed equity; massive pension obligations
Debt / (Debt + Equity) %	78.80%	89.80%	+11.0 pp	Leverage surged — higher Wd mechanically raises WACC debt term
Beta (5yr monthly)	0.48x	0.50x	+0.02x	Modest beta increase; more financial risk perceived by market
Cost of Equity (Ke)	4.76%	4.78%	+0.02 pp	Roughly flat — benefit of low Rf offset by slightly higher beta
After-Tax Cost of Debt (Kd)	3.32%	2.99%	−0.33 pp	Lower coupon on new bonds + lower effective tax rate blend
WACC	~4.0%	~3.5%	~−0.5 pp	WACC FELL — low-rate environment; new cheap debt dominates
NOPAT ($mm)	~11,430	~12,855	~+12.5%	Full wireless consolidation boosts NOPAT
Avg Invested Capital ($mm)	~100,000	~136,000	~+36%	Large jump from goodwill/intangibles step-up
ROIC	~11.4%	~9.5%	~−1.9 pp	Diluted by massive IC base; not yet earning deal's required return
Spread (ROIC − WACC)	~+7.4%	~+6.0%	~−1.4 pp	Still positive but spread compressed substantially at closing

Appendix 6: Counterfactual Discounted Cash Flow Implied Share Price

Implied Share Price Assuming No Deal with Vodafone

December 31st 2012 MOC Price	$ 43.27
Fully Diluted Shares O/S	$ 2,800,000,000.00
Market Cap	$121,156,000,000.00
TV	$310,456,649,539.17
Exit Multiple	$253,450,840,766.73
Perpetuity Growth	$367,462,458,311.61
Enterprise Value	$373,733,700,167.86
Equity Value Firm	$325,309,700,167.86
Equity Value Verizon	$178,920,335,092.32
Implied Share price	$ 63.90
Growth rate	2.00%
Multiple	8
Counterfactual Growth %	47.68%
Realized Growth %	70.67%

Appendix 7: Counterfactual Buyback Accretion Table

Item	FY2012A	FY2013A	FY2014A	FY2013E	FY2014E	FY2015E	FY2016E	FY2017E	FY2018E
Net Income	$ 10,557,000.00	$ 23,547,000.00	$ 11,956,000.00	$ 12,018,397.06	$ 12,378,948.97	$ 12,750,317.44	$ 13,132,826.97	$ 13,526,811.77	$ 13,932,616.13
EPS No Buybacks	**$3.77**	**$8.41**	**$4.27**	**$4.29**	**$4.42**	**$4.55**	**$4.69**	**$4.83**	**$4.98**
EPS 5B	3.90	8.69	4.41	4.44	4.57	4.71	4.85	4.99	5.14
EPS 10B	3.86	8.98	4.56	4.58	4.72	4.86	5.01	5.16	5.31
EPS 20B	3.90	9.55	4.85	4.87	5.02	5.17	5.33	5.49	5.65

Appendix 8: Counterfactual Paydown Accretion Table

Case	$5B

Item	1900-01-00	FY2013A	FY2014A	FY2013E	FY2014E	FY2015E	FY2016E	FY2017E	FY2018E
New Net Income	$ 12,298,849,291.29	$ 26,831,146,052.42	$ 15,969,700,909.14	$ 14,239,442,346.86	$ 14,672,186,248.80	$ 15,117,912,467.79	$ 15,577,010,473.35	$ 16,049,881,419.08	$ 16,536,938,493.19
Debt Repaid	$ 5,000,000,000.00								
Total Debt	$ 51,987,000,000.00	$ 93,591,000,000.00	$ 113,271,000,000.00	$ 64,913,481,246.22	$ 66,860,885,683.61	$ 68,866,712,254.12	$ 70,932,713,621.74	$ 73,060,695,030.40	$ 75,252,515,881.31
Old Net Income	$ 10,557,000,000.00	$ 23,547,000,000.00	$ 11,956,000,000.00	$ 12,018,397,060.98	$ 12,378,948,972.81	$ 12,750,317,441.99	$ 13,132,826,965.25	$ 13,526,811,774.21	$ 13,932,616,127.44
Interest Savings	$ 2,267,737,653.03	$ 4,275,675,110.56	$ 5,225,492,656.08	$ 2,891,609,537.66	$ 2,985,597,286.79	$ 3,082,404,668.40	$ 3,182,116,271.45	$ 3,284,819,222.59	$ 3,390,603,262.27
Tax Rate	23.19%	23.19%	23.19%	23.19%	23.19%	23.19%	23.19%	23.19%	23.19%
New EPS	4.39	9.58	5.70	5.09	5.24	5.40	5.56	5.73	5.91
Actual EPS	0.31	4.01	2.42	4.01	2.42	4.38	3.22	7.37	3.76

Appendix 9: Counterfactual Capital Allocation Analysis (DCF) Output

Metric	Value
Starting Share Price	$43.27
Counterfactual Share Value	$63.90
Counterfactual Growth	47.7%